

DEBT & EQUITY

Harrison Street's Student Housing Refi Shows Private Credit Is Picking the Right Basis

A 98%-leased 2023-vintage asset near Boise State gets refinanced. The signal is in the lender, not the loan.

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A source-grounded Light Tower Insight. The complete note follows.

The most revealing number in the VERVE Boise refinancing is not the loan amount. It is the delivery year: 2023.

Harrison Street Asset Management has provided a loan to refinance a 547-bed student housing community near Boise State University. The borrower is a joint venture between Appian Capital and Subtext. The property, delivered in 2023, was 98 percent leased at the time of financing. Further terms were not disclosed.

The transaction matters because it shows that private credit is willing to lend on student housing, but only when the basis is recent, the lease-up is proven, and the sponsor has institutional credibility. This is not a bet on the sector broadly. It is a bet on this specific capital stack.

VERVE Boise opened in 2023, which means it was conceived and financed during the low-rate era but delivered into a higher-cost world. That timing creates a natural tension: the original construction loan likely carried a lower interest rate, and the property needed to stabilize before a permanent lender would step in. The 98 percent occupancy confirms that the lease-up succeeded. The refinancing now replaces short-term construction debt with longer-term permanent capital, buying the sponsor time and locking in a known cost of funds.

Harrison Street is not a traditional bank. It is a specialized alternative asset manager with deep exposure to student housing, medical office, and life sciences. Its willingness to provide this loan signals that private credit sees student housing near strong public universities as a defensible cash-flow story, even when the broader multifamily market faces rent deceleration and elevated supply in some Sun Belt markets.

Boise State University enrolled roughly 26,000 students in fall 2025, with enrollment growth of about 2 percent year over year. The university does not have a large on-campus housing stock, which forces demand into the surrounding off-campus market. VERVE Boise sits within walking distance of campus, offers bed-to-bath parity, and targets the upper end of the student housing spectrum. Those characteristics matter because they narrow the competitive set and support rent growth even if the broader Boise multifamily market softens.

The borrower structure also matters. Appian Capital is a real estate investment firm with a track record in student housing development. Subtext is a student housing operator and developer. The joint venture combines development expertise with operating capability, which reduces execution risk for the lender. Harrison Street is effectively underwriting the sponsor team as much as the asset.

What this deal does not tell us is equally important. Without the loan amount, interest rate, term, or LTV, we cannot assess how aggressive the underwriting is. A low-leverage loan at a floating rate with a short term would be a cautious structure. A high-leverage loan at a fixed rate with a long term would be a more aggressive one. The absence of those details means the market signal is qualitative, not quantitative.

Still, the qualitative signal is clear. Private credit is not retreating from student housing. It is concentrating on assets that have already absorbed the construction risk and proven their cash flow. The lender is not taking development risk. It is taking stabilization risk, and only after stabilization has been demonstrated.

For owners of older student housing assets, the implication is less comfortable. A 2023-vintage property with modern amenities and bed-to-bath parity commands a premium in the debt market. Older properties with deferred capital needs and shared bathrooms will face tighter underwriting and higher spreads. The bifurcation within student housing is accelerating, and the dividing line is not just location but vintage and condition.

For sponsors with recently delivered student housing assets, the takeaway is that refinancing is available if the lease-up is complete and the lender knows the sector. The window is open, but it is narrow. Harrison Street is not a generalist lender. It is a specialist that can move quickly on assets it understands. Generalist banks and CMBS lenders remain cautious on student housing, particularly in secondary markets.

The next test for the student housing debt market will come when a 2015-vintage property with 92 percent occupancy and a maturing loan needs refinancing. That deal will reveal whether private credit is willing to underwrite older assets or whether the market has become a two-tier system where only

the newest, best-located, and best-operated properties can access permanent capital.

For now, the VERVE Boise refinancing is a data point, not a trend. But it is a data point that confirms a pattern: private credit is picking its spots, and it is picking the spots where the basis is defensible, the sponsor is credible, and the cash flow is already in place.

SOURCES

— RE Business Online —

<https://rebusinessonline.com/harrison-street-provides-loan-for-refinancing-of-547-bed-student-housing-using-community-near-boise-state-university/>

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